

Northwind Robotics Inc. - Annual Report 2025

Letter from the Chief Executive Officer

Dear shareholders,

2025 was the strongest year in Northwind's history. Northwind Robotics was founded in 2014 in Pittsburgh, Pennsylvania, with a mission to build robots that work safely alongside people. Eleven years later our machines operate in hospitals, warehouses and farms around the world.

Total revenue for fiscal year 2025 was \$412.6 million, compared with \$338.2 million in fiscal year 2024. We ended the year with 1,870 full-time employees, up from 1,540 a year earlier.

The year was not without challenges. Shortages of motion-controller chips slowed Atlas deliveries in the first quarter, and higher freight costs weighed on margins in the summer. Our teams responded by redesigning two circuit boards and by moving more final assembly closer to customers. By the fourth quarter, delivery times had returned to normal.

We also made important progress in healthcare. The Helix surgical platform began commercial sales in the United States, and the first hospitals reported shorter operating times for knee replacement procedures.

Our priorities for the coming year are disciplined growth, operational resilience and continued investment in research. I want to thank our customers, our partners and every member of the Northwind team for an exceptional year.

Dr. Elena Marsh
Chief Executive Officer

Business Overview

Northwind operates three business segments.

Warehouse Automation designs the Atlas family of autonomous mobile robots (AMRs) that move goods inside distribution centres. Atlas robots are sold together with a fleet-management software subscription called Atlas Control, which schedules missions, balances charging and reports utilisation to the customer.

Surgical Robotics develops the Helix platform, a robotic assistant for minimally invasive orthopaedic surgery. Helix systems are sold to hospitals with a multi-year service contract that covers maintenance, software updates and instrument supply.

Agricultural Robotics builds Furrow, a solar-powered weeding robot used by vegetable growers. Furrow uses cameras to tell crops from weeds and removes weeds mechanically, without herbicides.

Northwind serves customers in 23 countries. Our largest customer, Meridian Logistics, accounted for 14% of total revenue in 2025. No other customer accounted for more than 5% of revenue.

Recurring revenue from software subscriptions and service contracts was \$96.5 million in 2025, or about 23% of total revenue, compared with \$71.0 million in 2024.

Financial Summary

Revenue by segment, fiscal year 2025:

Warehouse Automation: \$248.3 million

Surgical Robotics: \$121.9 million

Agricultural Robotics: \$42.4 million

Revenue by segment, fiscal year 2024:

Warehouse Automation: \$221.7 million

Surgical Robotics: \$83.6 million

Agricultural Robotics: \$32.9 million

Gross margin was 46.8% in 2025, compared with 44.1% in 2024, driven by lower component costs for Atlas robots and a higher share of software revenue.

Operating income was \$37.5 million in 2025, compared with \$21.9 million in 2024.

Net income was \$28.1 million in 2025, compared with \$14.6 million in 2024.

Research and development expense was \$71.2 million in 2025, compared with \$58.9 million in 2024.

Sales, general and administrative expense was \$84.4 million in 2025.

At December 31, 2025, Northwind held \$186.4 million in cash and cash equivalents and had no outstanding bank debt. Free cash flow for the year was \$31.7 million.

Quarterly Results

Revenue by quarter, fiscal year 2025:

First quarter: \$88.4 million

Second quarter: \$97.1 million

Third quarter: \$106.3 million

Fourth quarter: \$120.8 million

The first quarter was affected by the motion-controller shortage described in the letter from the Chief Executive Officer. Revenue grew in every subsequent quarter as Atlas deliveries recovered and Helix sales began in the United States.

Fourth-quarter revenue was the highest in company history. Orders received in the fourth quarter included the largest single Atlas order to date: 420 robots for a European grocery distributor.

Order backlog at December 31, 2025 was \$214.0 million, compared with \$167.5 million a year earlier. Approximately 70% of the backlog is expected to be delivered in 2026.

Research and Development

Our research and development organisation employs 540 engineers and scientists across Pittsburgh, Toronto and Munich.

In March 2025 the Helix platform received FDA 510(k) clearance for knee replacement procedures, which allowed commercial sales in the United States to begin in the second quarter. A submission for hip replacement procedures is planned for 2026.

The third generation of the Atlas robot, Atlas v3, launched in September 2025. Atlas v3 offers a battery life of 14 hours on a single charge and can carry payloads of up to 600 kilograms. The previous model, Atlas v2, offered 9 hours of battery life and a 450 kilogram payload.

Furrow received a software update that improved weed detection accuracy to 97% in field trials, up from 91% for the previous version.

Northwind has been granted 128 patents worldwide, including 19 patents granted during 2025.

Customers and Markets

North America generated 58% of 2025 revenue, Europe 31% and Asia-Pacific 11%.

In warehouse automation, customers include third-party logistics providers, grocery distributors and e-commerce retailers. The installed base of Atlas robots reached 9,600 units at the end of 2025.

In surgical robotics, 74 hospitals were using Helix at the end of 2025, of which 41 were in the United States and 33 in Europe. Each Helix system performed an average of 210 procedures during the year.

In agricultural robotics, Furrow robots operated on more than 5,000 hectares of farmland, mainly in California, the Netherlands and Spain. Agricultural customers typically buy robots before the spring planting season, so segment revenue is concentrated in the first half of the year.

Risk Factors

Supplier concentration: Northwind relies on a single supplier, Kestrel Semiconductors, for the motion-controller chips used in all Atlas and Helix robots. A disruption at Kestrel could delay production for several months. We are qualifying a second supplier, but this process is not expected to finish before 2027.

Customer concentration: Meridian Logistics represented 14% of 2025 revenue. The loss of Meridian, or a significant reduction in its orders, would materially reduce our revenue.

Trade and tariffs: approximately 35% of our component costs are imported, and changes in tariffs could increase costs.

Cybersecurity: our fleet-management software connects robots to customer networks; a security breach could harm customers and our reputation.

Regulation: Surgical Robotics products are subject to medical device regulation in every market where they are sold. Delays in approvals could postpone revenue.

Competition: larger industrial automation companies are entering the autonomous mobile robot market and may compete aggressively on price.

Sustainability and People

In 2025, 62% of the electricity used at Northwind facilities came from renewable sources, up from 48% in 2024.

Scope 1 and scope 2 greenhouse gas emissions were 18,400 tonnes of CO2 equivalent, a reduction of 12% compared with 2024.

Voluntary employee turnover was 9.3% in 2025. Women made up 31% of our engineering staff.

Every employee receives 40 hours of paid training per year, and we launched an apprenticeship programme with Pittsburgh community colleges that enrolled 64 apprentices.

Product safety is a core value. Atlas robots completed more than 41 million kilometres of autonomous travel in 2025 with no injuries to people reported by customers.

Corporate Governance

The Board of Directors has nine members, seven of whom are independent. The Chair of the Board is Thomas Okafor, who has served as an independent director since 2019.

The Board has three standing committees: Audit, Compensation, and Nominating and Governance. The Audit Committee met eight times in 2025.

The independent auditor of Northwind is Hartley and Reed LLP, which has audited the company since 2017.

Executive compensation is linked to revenue growth, operating margin and product safety targets. In 2025, 60% of the Chief Executive Officer's target compensation was performance-based.

Outlook for 2026

For fiscal year 2026, Northwind expects total revenue between \$480 million and \$500 million, and an operating margin of approximately 10%.

We plan to open a new assembly plant in Monterrey, Mexico in the third quarter of 2026 to serve customers in the Americas and to reduce tariff exposure.

Planned capital expenditure for 2026 is \$55 million, mainly for the Monterrey plant and for expanding Helix production capacity.

We will continue to prioritise reinvestment in research and development and in international expansion.